

Leverage Point

A leverage point is an element, relationship, constraint, or decision within an organizational system where a targeted intervention has the potential to influence multiple connected parts of the system and materially advance strategic priorities and sustainable value creation.

The important distinction is that a leverage point is **not necessarily where the pain is most visible**.

A complaint, delay, repetitive task, or bad KPI is a **signal**. The leverage point may sit upstream of it.

For example:

Signal: support agents repeatedly escalate complex cases.

Visible problem: escalation rate is too high.

Possible leverage point: fragmented and unreliable organizational knowledge.

Improving that one thing could influence resolution time, customer satisfaction, employee confidence, escalation rates, learning, and potentially retention. That is what makes it systemic.

Leverage Point Reasoning Framework

I would structure the reasoning around **six questions**.

Lens	Question	What the system should look for
1. Strategic relevance	Why does this matter?	Direct connection to business goals, strategic priorities, growth or important outcomes
2. Systemic position	What else does this influence?	Dependencies, handoffs, workflows, teams, decisions, customers, information flows
3. Causal depth	Is this the problem or a symptom?	Recurring issues that share an upstream cause or constraint
4. Propagation potential	If we change this, what else could improve?	Effects that spread across several outcomes rather than improving one isolated task
5. Value potential	What value could the intervention unlock?	Short-term KPIs and ROI plus quality, decisions, innovation, customer value, capability and sustainable growth

6. Intervention fit	What kind of change is actually needed?	Human, AI, Human-AI, process, policy, structure, capability, or a combination
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The system should only call something a **high-potential leverage point** when several of these conditions are present at the same time.

1. Start with strategy, not AI

The first reasoning step should be:

What is the organization trying to achieve?

Examples:

- improve customer retention
- enter a new market
- increase profitable growth
- improve service quality
- reduce risk
- accelerate innovation
- improve employee capability

This gives the system a **direction**.

Without that, a bottleneck can look important simply because it is annoying.

2. Detect signals in the organizational system

The system then looks across:

People & capabilities
Workflows & processes
Knowledge & information
Critical decisions
Customer and stakeholder experience
Technology & tools
Governance & structures

And searches for patterns such as:

- bottlenecks
- repeated failures
- delays
- excessive handoffs
- unmet needs

- knowledge gaps
- inconsistent decisions
- duplicated effort
- capability constraints
- high cognitive load
- recurring customer complaints
- dependencies on individual experts
- poor information flow
- conflicting incentives

These are **signals**, not yet leverage points.

3. Move from signal → pattern → cause → leverage point

This is probably the most important reasoning sequence for your prototype:

Signal

What is happening?

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Pattern

Does it happen repeatedly or in several parts of the organization?

↓

Underlying condition

What seems to be enabling or causing the pattern?

↓

Systemic connection

What other outcomes depend on this condition?

↓

Leverage point

Would changing it influence several important outcomes connected to strategy?

For example:

Repeated escalations

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Agents cannot resolve complex cases

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Relevant knowledge is fragmented across systems and people

↓

This affects resolution, training, consistency, customer experience and decision quality

↓

Knowledge accessibility and quality becomes a candidate leverage point

That is much more sophisticated than:

“High escalation rate → automate escalation.”

4. Apply the counterfactual test

I would explicitly teach the AI to ask:

If this changed significantly, what else would change?

A strong leverage point should produce a credible cascade.

For example:

Improve access to trusted organizational knowledge

- fewer unnecessary escalations
- faster resolution
- more consistent decisions
- greater employee confidence
- more capacity for complex customer interaction
- better customer experience
- potentially higher retention

The longer and more strategically relevant the credible cascade, the stronger the leverage potential.

But the model should also challenge itself:

Could these outcomes improve even if this point did not change?

If yes, it may not actually be the leverage point.

5. Evaluate value across time horizons

This is where your value model becomes important.

I would separate:

Immediate value

Efficiency & Capacity

Time, productivity, cost, operational KPIs, ROI

Quality & Risk

Accuracy, reliability, compliance, failure reduction

Broader organizational value

Decision & Judgment

Better decisions, insight, prioritization

Customer & Stakeholder Value

Experience, trust, outcomes

Innovation & Learning

New possibilities, experimentation, organizational learning

Capability & Agency

Skills, autonomy, confidence, ability to adapt

Sustainable value

Then ask:

How could those gains contribute to sustainable growth?

This prevents the system from reasoning:

save 10,000 hours = success

and instead asks:

10,000 hours released → what happens to that capacity?

If nothing changes, the value may remain mostly efficiency.

If that capacity is redirected toward innovation, customer relationships, learning, new products, better decisions, or growth, the systemic value becomes much larger.

6. Only after that ask: what should intervene?

This is another important distinction in your framework.

Finding a leverage point does **not** mean finding an AI use case.

Once the point is identified, the system asks:

Human-led

Does this primarily require judgment, empathy, creativity, negotiation, leadership or contextual understanding?

AI-led

Is the opportunity primarily about pattern detection, retrieval, synthesis, prediction, generation or scale?

Human-AI collaboration

Could AI augment human capability while humans retain judgment, context and accountability?

Non-AI intervention

Would the real solution be better process design, governance, incentives, structure, capability building or policy?

And very often the answer could be:

Human-AI + organizational change

rather than just AI.

Human role comes after intervention logic

If AI is appropriate, your framework then determines:

Human at the Center

Whose needs and value should guide the design?

Human in Command

Who retains authority and accountability?

Human in the Loop

Where must humans actively participate?

Human on the Loop

Where can AI act while humans monitor and intervene?

Responsible AI then becomes a constraint around the entire design, not a checklist added afterward.

A simple leverage-point test for the prototype

You could make the system score each candidate from **1–5** on:

Strategic relevance

How strongly does it affect strategic priorities?

Systemic reach

How many workflows, stakeholders or outcomes does it influence?

Causal depth

Is it upstream of symptoms rather than merely one of them?

Value multiplier

Could changing it create several forms of value?

Interventionability

Can something realistically be done about it?

Evidence strength

How strongly does available organizational evidence support the hypothesis?

Then:

**Leverage Potential = Strategic Relevance + Systemic Reach + Causal Depth +
Value Multiplier + Interventionability + Evidence Strength**

I would **not** include “AI suitability” in that score.

That comes afterward.

Otherwise the system will naturally bias itself toward finding problems that AI can solve, which is exactly the trap your approach is trying to avoid.

The core reasoning logic

For the team, I would summarize your framework in one line:

**Strategy → Signals → Patterns → Root conditions → Systemic connections
→ Leverage points → Value potential → Right intervention → Human-AI
design → Experiment**

And the key principle underneath it is:

A leverage point is not simply where there is a problem. It is where changing something has the potential to change the behavior or outcomes of a wider system in a way that advances what the organization is ultimately trying to achieve.

That definition is, I think, strong enough to become the **reasoning backbone of the prototype**, not just a systems-thinking concept.